

23STCV11647 23STCV11647

County: los-angeles

Division: Civil Law and Motion

Department: 14

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Case Number: 23STCV11647 Hearing Date: July 15, 2026 Dept: 14

SUPERIOR COURT OF THE STATE OF
CALIFORNIA

FOR THE COUNTY OF LOS ANGELES

DEPARTMENT 14

GERARDO MARTINEZ,

Plaintiff,

v.

ASBESTOS COMPANIES, et al.

Defendants.

Case No. 23STCV11647

Hearing Date: July 15, 2026

Time:

9:00 a.m.

¿ [TENTATIVE] ORDER

RE:¿

530 HEWITT SUBSIDIARY, LLC'S DEMURRER TO THE
FIFTH AMENDED COMPLAINT

I.

Background

On May 23, 2023, Plaintiff Gerardo

Martinez (Mr. Martinez) filed his complaint for personal injury alleging he developed mesothelioma from direct occupational exposure to asbestos and asbestos containing products.

On September 21 and November 11, 2023, Mr. Martinez filed his second and third amended complaints for personal injury. On May 2, 2024, Mr. Martinez died. On November 12, 2024, Plaintiffs John Lozano, Araceli Lenard-Lozano, and Jeanette Lozano ("Plaintiffs") filed their third amended complaint for wrongful death.

On December 17, 2024, Maria Socorro de Santiago and Anali Martinez Siorda filed the operative fourth amended complaint for wrongful death. As to Defendants Kor Real Estate Partners LLC ("Kor") 1645 Vine Real Estate LLC ("1645 Vine LLC"), 1645 Vine Real Estate Holding Company, LLC ("1645 Vine Holding"), 530 Hewitt Real Estate, LLC ("530 Hewitt LLC"), and 530 Hewitt Holding Company, LLC ("530 Hewitt Holding") (collectively "Defendants"), Plaintiffs allege that Defendants owned three properties, 510 and 530 S. Hewitt St in Los Angeles (Barker Block), 1100 S. Broadway, Los Angeles (LA Proper Hotel) and 1645 N. Vine, Los Angeles (Broadway Hollywood). Plaintiffs further allege that these properties contained asbestos and that Mr. Martinez was exposed to asbestos while working as a subcontractor electrician during renovations of these properties from the early 2000s to approximately 2015.

On July 17, 2025, Plaintiffs filed the operative fifth amended complaint naming 530 Hewitt Subsidiary, LLC ("Hewitt Subsidiary") as a defendant in this action.

On May 19, 2026, the court denied Hewitt Subsidiary's motion to dismiss.

On June 10, 2025, Hewitt Subsidiary demurred to the fifth amended complaint, arguing it lacks the capacity to be sued because it is a dissolved corporation.

On July 1, 2026, Plaintiff opposed, arguing that the demurrer is untimely, that Delaware law does not extinguish a dissolved corporation's liabilities to third parties, and that the demurrer requests that the court consider evidence outside the scope of the complaint.

Hewitt Subsidiary's demurrer is sustained without leave to amend. Hewitt Subsidiary is a dissolved limited liability corporation that has filed a certificate of cancellation and is no longer amenable to suit under Delaware law.

II. Judicial Notice

Hewitt Subsidiary requests that the court take judicial notice of its Certificate of Formation and Certificate of Cancellation filed with the Delaware Secretary of State on June 16, 2006 and August 2, 2019 respectively. The requests are granted under Evidence Code section 452, subdivision (c).

III. Discussion

A. Legal Standard

As a general matter, in a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleading alone, and not the evidence or facts alleged.” (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (Ibid.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740,

747.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Id.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245.)

B.

Demurrer

a.

Parties’

Arguments

Hewitt

Subsidiary demurs to the fifth amended complaint on the grounds that it lacks capacity to be sued because it is a dissolved corporation. Hewitt Subsidiary, citing Corporations Code section 17708.01, subdivisions (a)(1) and (a)(2), argues that Delaware law governs whether it can be sued after being dissolved. (Motion at pp.1-2.) The court took judicial notice of Hewitt Subsidiary’s Certificate of Formation and Certificate of Cancellation showing that the entity was incorporated in Delaware in June 2006 and dissolved in August 2019. (RJN Exhs. A, B.)

In opposition,

Plaintiff argues that the demurrer is untimely, that Delaware law does not extinguish a corporation’s liability to third parties, and that the demurrer improperly requires the court to consider evidence outside of the four corners of the complaint. (Opp. at pp.3-7.)

In reply, Hewitt

Subsidiary argues that the demurrer is timely because it was filed two days before the 15-day deadline prescribed by Code of Civil Procedure section 418.10, subdivision (b). (Reply at pp.1-3.) Hewitt Subsidiary also argues that the cases Plaintiff cites supporting the opposition do not apply here because Hewitt Subsidiary is a limited liability company (“LLC”). (Id. at

pp.3-5.) Hewitt Subsidiary argues that the demurrer does not require consideration of outside evidence because it is based on judicially noticeable facts. (Id. at pp.5-6.)

b.

Analysis

Plaintiff's

argument regarding timeliness is without merit. As Hewitt Subsidiary points out in the reply, the court granted Hewitt Subsidiary 20 days to respond to the fifth amended complaint after denying its motion to dismiss. Hewitt Subsidiary filed the demurrer on June 10, 2026, 20 days after Plaintiff served notice of the order denying the motion to dismiss. Plaintiff's argument that the demurrer is improperly based on facts not stated in the complaint is also without merit. The demurrer is properly based on judicially noticeable facts. The court turns to Hewitt Subsidiary's argument that it no longer has the capacity to be sued.

The

parties agree that Delaware law governs whether Hewitt Subsidiary, a dissolved corporation, has the capacity to be sued. Under California's corporate survival statute, a dissolved corporation "continues to exist" for the purpose of defending actions against it. (Corp. Code, § 2010, subd. (a).) The statute sets no time limitation for suing a dissolved corporation for injuries arising from its predissolution conduct. But our Supreme Court has held that California's survival statute "does not apply to foreign corporations." (Greb v. Diamond Internat. Corp. (2013) 56 Cal.4th 243, 272 (Greb).) Instead, the law of the state under which a foreign limited liability company is formed governs the liability of the limited liability company. (Corp. Code, § 17708.01, subd. (a)(2).)

The

Supreme Court's decision in Greb governs whether Hewitt Subsidiaries may be sued here. In Greb, the trial court sustained the demurrer filed by a dissolved Delaware corporation more than three years after it was dissolved. (Greb, supra, 56 Cal.4th at p. 246.) Under Delaware's corporate survival statute, dissolved corporations "shall nevertheless be continued, for the term of 3 years from such expiration or dissolution ... bodies corporate for the purpose of prosecuting and

defending suits, whether civil, criminal, or administrative, by or against them....” (Del. Code tit. 9, § 278; Greb, supra, at p. 247 [Delaware’s three-year survival statute “precludes suits against a dissolved corporation even when the plaintiff did not know of the injury during that period”].) Under Delaware law, a corporation’s ability to sue or be sued expires at the end of the three-year period prescribed by Delaware Code title 9 section 278. (Territory of U.S. Virgin Islands v. Goldman, Sachs & Co. (2007) 937 A.2d 760, 789 [intent of section 278 was to establish a three-year period during which claims against a dissolved corporation can be brought].) In Greb our High Court affirmed the demurrer of the Delaware corporation.

Delaware

authority further clarifies that an LLC that is winding up “engages in the same tasks as [a] corporation: marshalling its assets, discharging or establishing reserves for liabilities, and ultimately distributing any remaining surplus to its members...At the end of the winding up process, an authorized person files a certificate of cancellation...which terminates the LLC’s existence. (Gurney-Goldman v. Goldman (2024) 321 A.3d 559, fn. 69.) “Upon dissolution of a limited liability company and until the filing of a certificate of cancellation...the persons winding up the limited liability company’s affairs may, in the name of, and for and on behalf of, the limited liability company, prosecute and defend suits,...gradually settle and close the limited liability company’s business, dispose of and convey the limited liability company’s property, discharge or make reasonable provision for the limited liability company’s liabilities, and distribute to the members any remaining assets of the limited liability company...” (Del. Code tit. 6, § 18-803, subdivision (b).) Thus, a dissolving LLC may only defend lawsuits until a certificate of cancellation is filed. The certificate of cancellation marks the end of the dissolution process, including the survival period under Delaware Code title 9 section 278, and demonstrates that an LLC no longer exists.

Here,

Hewitt Subsidiary is a Delaware limited liability company that filed a certificate of cancellation in August 2019. (RJN Exh. B.) The certificate of cancellation marks the end of the dissolution process and the winding-up period and demonstrates that Hewitt Subsidiary no longer exists. Even accounting for the three-year survival period under Delaware Code title 9 section 278, the certificate of cancellation shows that the dissolution process and the survival period have already passed. Accordingly, Hewitt Subsidiary lacks the capacity

to be sued. Its demurrer is sustained.

In

opposition, Plaintiff cites *In re Krafft-Murphy Co., Inc.* (2013) 82 A.3d 696, 704, arguing that Delaware's survival statute does not operate to extinguish a dissolved corporation's liability to third parties. Plaintiff further cites Delaware Code title 8 section 279 to argue that courts may appoint a receiver to defend lawsuits and bring claims against a corporation even after the corporation's three-year winding up period. *Krafft-Murphy* involved a dissolved corporation that held insurance policies despite being dissolved. (*Krafft-Murphy*, *supra*, 82 A.3d at p.710.) After the trial court denied a petition for the appointment of a receiver for the dissolved corporation and dismissed the case, the Delaware Supreme Court ruled that the trial court erred by failing to appoint a receiver. (*Id.*)

Here,

there is no indication that Hewitt Subsidiary has undistributed assets like the defendant in *Krafft-Murphy*. Rather, Hewitt Subsidiary's certificate of cancellation indicates that it has completed the winding-up process and disposed of its property. Even if Hewitt Subsidiary had undistributed assets, Plaintiff presents no authority endowing this court with the authority to appoint a receiver for a defunct Delaware LLC under Delaware law. *Krafft-Murphy* does not support Plaintiff's arguments.

Plaintiff

seeks leave to amend. However, Plaintiff fails to explain how the complaint may be amended to cure Hewitt Subsidiary's lack of capacity to be sued. Accordingly, leave to amend is denied.

IV.

Conclusion

Hewitt

Subsidiary's demurrer is sustained without leave to amend. Hewitt Subsidiary is a dissolved limited liability corporation that has filed a certificate of cancellation and, under controlling Delaware law, is no longer amenable to suit. Plaintiff's request for leave to amend is denied.

Hewitt

Subsidiary to give notice.